

BMBL pitch deck

PITCH — BMBL — VERDICT

PROPOSED — PENDING ADJUDICATION — No position. Both benches ended flat; the fair-value range straddles the tape, and there is a named reason to stay out (the lenders own most of the cash flow we'd be buying).

What we believe

Bumble is a real, cash-generating business trading at a wreck price, and that combination is not enough to make it worth owning.

The facts we're confident in, from the company's own June-quarter filing ([10-Q, period ended 2026-06-30](#)):

- The stock is \$2.77. There are 131,968,314 Class A shares and 17 Class B shares, so the whole company is worth about **\$365 million**. Add \$451M of debt, subtract \$154M of cash, and you're paying about **\$664 million** for the business — roughly **2.9x** the company's own guided trough profit (\$232M EBITDA).
- It still generates cash. First-half operating cash flow was **\$130.9M** against **\$5.9M** of capital spending. Full-year free cash flow of roughly **\$130–145M** is credible.
- Revenue is falling hard: Q2 2026 revenue of \$210.5M versus \$248.2M a year earlier, about **-15%**. The Q3 guide (\$205–213M) implies the decline is arriving at a steady rate, not accelerating and not stopping.
- **The cash is spoken for.** The April 2026 refinancing put a \$475M term loan on the balance sheet at Term SOFR + 8.00% — an 11.62% rate in effect at quarter-end, and closer to **13.3% all-in** once you count the \$28.5M issue discount and \$6.7M of fees (the loan was effectively sold at 94 cents). Interest is **\$55.2M/year**. Mandatory principal repayment is **12.5% of the original loan in year one (\$59.4M), then 15% (\$71.3M)**. Total required debt service is **\$114.6M in year one rising to about \$126M** — against ~\$137M of free cash flow. **Between 84% and 92% of the cash we'd be capitalizing is contractually pledged to lenders through 2030.**

That last point is the thesis. This is not a cheap cash machine. It is a cash machine whose output has already been sold to somebody senior to us, and the equity only gets paid if the revenue decline stops before the debt is retired. Nothing in the Q3 guide says it has.

Our honest fair-value range, using a discount rate anchored to what the company actually pays for money (16–20%) and a continuing decline of 3–5% per year, is **\$2.27 to \$3.21 per share** against a \$2.77 tape. That is a band with the current price in the middle of it. There is no gap to harvest.

What the market believes

The market believes roughly what we believe, and it has said so in three independent places:

1. **The stock:** down 62% from its 52-week high (\$7.32), trading 9% off its 52-week low (\$2.54).
2. **The lenders:** sophisticated secured creditors, with covenant protection and full access to the books, demanded SOFR + 800bps against only 1.3x leverage — and still needed a 6-point discount to place the paper. A healthy 1.3x-levered, cash-generative borrower funds at SOFR + 250–350. The lenders are pricing this as a distressed credit.
3. **The accountants:** the company wrote down \$169.3M of goodwill and brands in the June quarter, using a **30% discount rate and zero terminal growth**. The write-down trigger, in management's own words, was “a sustained decline in its stock price and the resulting decrease in its market capitalization.”

And after all that, the stock trades at **0.59x book value** (\$365M market cap versus \$616.6M of stockholders' equity). The market is saying that even management's freshly-marked-down, auditor-reviewed valuation is still about 40% too optimistic.

What the market does *not* appear to believe is that the business is going to zero. Sell-side consensus for Q3 was \$214.5M — modelling a normal seasonal uptick — and the company guided \$205–213M, below it. That miss printed on August 5 and has already traded.

Why we might have edge

Three things we found that we do not see in the published research. All three are bearish, which is worth stating plainly: **our edge here produced a correct decision to stay out, not a position.**

1. **The debt-service arithmetic.** Both numbers — \$55.2M of interest and \$59.4M of mandatory amortization — are disclosed in the same filing note. We have not seen anyone multiply the free cash flow story against them. Every “3x EBITDA, huge FCF yield” framing on this name capitalizes cash that is legally committed elsewhere.
2. **Reading the impairment note as a valuation floor rather than a valuation opinion.** When a company writes goodwill *partially* down, the surviving carrying value **is** management's audited fair value estimate. \$603.5M of goodwill and \$290.0M of brands survived the 30%-discount test. That means management's model produced a value supporting \$616.6M of equity (\$4.67/share), not a lower number. This is a reusable technique, and it caught a serious error in our own work (below).
3. **Predicting the next write-down as a dated event.** At 0.59x book, with the impairment trigger being the stock price itself, a **second impairment at the Q3 report is the base case, not a tail risk**. That is a reflexive loop — lower price forces a lower mark, which is itself a headline — and it sits directly on top of the November print.

One important caveat on #2: the impairment model is a 75/25 blend of a cash-flow model and a market-comparables model, and the market leg is calibrated to the very tape we're trying to test it against. So using it as an independent outside check is **partly circular**. We're flagging that rather than leaning on it.

Why it might be priced in

Most of it is.

- **The credit market has already published its verdict** at SOFR+800 and a 94 issue price. That is not our private information; it's in an 8-K.
- **The guide miss traded three weeks ago.** Building a thesis on an August 5 disappointment in late August is counting the same event twice.
- **This is a heavily covered name.** Post-IPO US mid-cap, multiple analysts, a well-known consumer brand. There is no discovery here — nobody is going to find this stock. Whatever mispricing exists has to survive dozens of people already looking at it.
- **The written-down book value is public**, the falling revenue is public, and the seasonality is computable by anyone with a spreadsheet.
- **The one piece of “hidden” supply we thought we had turned out not to exist.** The original brief's centerpiece — a Blackstone forward-sale contract supposedly settling shares at \$3.7751 on 2026-06-16 — is not in EDGAR. The most recent SC 13D/A on this company is dated **2024-03-05**. The claim came from a third-party mirror site and is refuted as sourced.

We also note a house pattern against us: our template of buying broken consumer names after an earnings disappointment has graded **o for 7**. The headline usually *is* the news.

What could go wrong

Failure narrative 1 — The value trap (has a tripwire)

We buy at \$2.27 believing the decline is decelerating. It isn't. Revenue keeps falling 12–15% a year, EBITDA slides from \$232M toward \$180M, and free cash flow drops below the \$114.6M of mandatory debt service. At that point the equity is no longer a claim on cash — it's a claim on whatever's left after refinancing, and the company will be refinancing into a hostile market. The stock does not go to \$1.92; it goes to \$0.80.

Tripwire: quarterly revenue, Bumble App paying users, operating cash flow. All disclosed quarterly. **Monitorable.**

Failure narrative 2 — The reflexive write-down spiral (has a tripwire)

The Q3 report carries a second impairment. Book value drops from \$616.6M toward \$400M. Passive value screens that had the name flagged on price-to-book drop it. The stock falls, which triggers the *next*

impairment test, which produces another write-down. Note that \$893.5M of the \$1,220.2M asset base is goodwill and brands — **tangible book equity is roughly negative \$277M**. There is no hard asset floor under this stock, only an accounting one, and accounting floors move.

Tripwire: the Q3 10-Q impairment note; monthly price versus the last disclosed carrying value.

Monitorable.

Failure narrative 3 — A privately negotiated creditor event (NO monitorable tripwire)

Lenders who priced this at 13.3% all-in are already positioned for a restructuring. The realistic bad ending is not a bankruptcy filing — it's a liability management exercise: a discounted debt exchange, a drop-down, a distressed refinancing with warrants attached, or a take-private at a price that clears the debt and leaves the common with a token. These are negotiated in a conference room among the company, its sponsor, and a creditor group, under NDA, and they arrive in an 8-K fully formed. **There is no leading indicator we can watch.**

The one instrument that would give warning is the secondary trading price of the term loan — a slide from 94 to the low 80s would be the tell. **We have no rail into the leveraged loan market.** We cannot see it, and we could not see it even if we tried today.

Unknown-unknown class: private-negotiation events. Outcomes decided by a small number of parties under confidentiality, where the entire information content is released at announcement and the pre-announcement signal is structurally unavailable to public-market participants. Sibling members of this class: take-private bids, coercive exchanges, sponsor recapitalizations, sudden CEO departures. Our detector library covers none of them, by construction. Any position in a levered, sponsor-adjacent, price-broken issuer carries an untripwireable slug of this risk, and no amount of filing analysis reduces it.

A second, softer instance of the same class: **we cannot see demand between prints.** Our app-review velocity detector returned lifetime star ratings only (Bumble 4.316, Tinder 4.194, Hinge 4.408, Grindr 4.451, Badoo 4.576) with no dated review counts. Those are levels, not trends — they cannot distinguish “dating apps as a category are dying” from “Bumble is losing share to Hinge.” We would be flying blind on the single variable that decides the thesis for roughly 90 days at a stretch.

The reflexive and structural leg — our own footprint and our own rulebook

- **Our size versus daily volume is unknown, and that is a real gap, not a formality.** The IBKR data tools were permission-denied for both benches this session. We have no average daily volume figure. Our own rule is that a ladder must stay under 1% of daily volume — we literally cannot compute a compliant ladder for this name right now. Any size number in this deck would be unbacked.
- **We would be bidding into flow we ourselves predict.** We forecast a second impairment headline into the November report and a lower price after it. Laddering in above that level means

buying from ourselves at the wrong end. Our rule against bidding into predicted flow says: if you think it's going lower for a reason you named, don't set the ladder above that reason.

- **A falling price here is information, not a discount.** This stock is not bleeding from index or sector pressure — the decline is company-specific. The usual “dislocation” logic (the stock got dragged down with something else, so buy it) does not apply. Each new low is the market updating on the same facts we have.
- **Template conflict.** Buying a broken consumer name after a guidance miss is our 0-for-7 cohort. Adding an eighth attempt requires a reason this one differs. We don't have one.
- **Shorting is not the alternative.** A \$2.77 stock, 62% off its high, small float relative to interest, in a consumer category that attracts retail attention, fails our exclusion test for short candidates. Being right about the fundamentals and wrong about the squeeze is a way to lose money twice.
- **No portfolio conflict.** This does not overlap the tax-loss-harvesting sleeve or any existing holding, so nothing forces our hand either way.

If this position loses money, the most likely reason will be that we bought a cash machine whose cash isn't ours — the lenders hold a contractual claim on 84–92% of forward free cash flow, so the equity only gets paid if the revenue decline stops before 2030, and the Q3 guide says it hasn't stopped.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Cost of borrowing refutes a 12% discount rate	10-Q debt note	Term SOFR + 8.00%, 11.62% in effect, \$475M, matures 2030-04-24	Yes
...and the bear bench understated it	10-Q debt note, discount and fees	\$28.5M issue discount + \$6.7M fees on \$475M face → issued near 94, all-in ≈ 13.3%	Yes — our own bear bench's number was too generous to its own case
Fair value is \$1.92/share (bear bench's fatal finding)	Balance sheet — the check the bear bench itself named as decisive and then skipped	Stockholders' equity \$616.6M = \$4.67/share , with \$603.5M goodwill and \$290.0M brands <i>surviving</i> the write-down. A \$253M equity value would have required writing off all remaining goodwill. It wasn't written off.	No — OUR BEAR BENCH WAS WRONG. It transplanted a 30% rate onto a flat perpetuity of trough earnings; the real model is a multi-year forecast, 75/25 income/market blend, with a control premium
Mandatory principal repayment is 11% of the loan	10-Q debt note	12.5% in year one, 15% thereafter (\$59.4M then \$71.3M)	No — bear bench understated it again, in its own disfavour
Minimum liquidity covenant is \$50M flat	10-Q debt note	\$25M rising to \$50M	No — bear bench overstated the constraint

Claim	How checked	Found	Confirmed?
Stock comp implies 11%/year dilution	10-Q cash flow statement + arithmetic review	Expense doubled (\$20.3M vs \$10.0M) — real and worth flagging. But stock-comp <i>expense</i> is amortized grant-date value of past awards; it is not shares issued at today's \$2.78. The dilution claim doesn't follow from the expense line.	Partially — the fact is confirmed, the inference was bad arithmetic by our own bench
Blackstone forward-sale settling shares at \$3.7751 on 2026-06-16 (the original brief's centerpiece)	EDGAR SC 13D chain, CIK 1830043, 40 records	Most recent SC 13D/A is 2024-03-05. No 2026 amendment exists. The 2026-07-27 filing is a passive 13G.	No — refuted as sourced. Came from a mirror site, not a filing. Our brief's headline crux was fictional.
Sequential revenue is stabilizing	Quarterly revenue series, Q3-versus-Q2	+6.1% (2023), +1.9% (2024), -0.8% (2025); Q3'26 guide implies -0.7%	Partially — flat second derivative. Damage arriving at a constant rate, neither stabilization nor acceleration
The Q3 guide missed the street	FactSet consensus via MarketScreener	Consensus \$214.5M vs guide \$205–213M; Bumble App consensus \$174.4M vs guide \$167–173M	Yes — but it printed 2026-08-05 and the tape has traded it
A tax-receivable liability inflates enterprise value	10-Q	No such liability at either 2026-06-30 or 2025-12-31; terminated Nov 2025 by settlement	Refuted — in the bull's favour. Our bear bench conceded this plainly
Cash flow is flattered by prepayments	10-Q deferred revenue	\$35.2M vs \$36.8M — down, not up. No flattering effect.	Refuted — in the bull's favour
Covenants are a near-term problem	10-Q covenant terms vs guided profit	Leverage limit steps 3.00x → 2.00x by 2028-06-30; on \$232M EBITDA that allows \$464M of debt versus ~\$273M outstanding by then after scheduled repayment	No — not binding. The bind is cash pledged, not covenants breached
Our evidence pack's own figures	Cross-check against the 10-Q	Pack's stock-comp series lists \$26,000 for a quarter (impossible); share-count series is stale/pre-restructuring	No — OUR OWN DATA PACK WAS CORRUPT on two of five series. Both benches independently caught it and superseded it
The write-down proves the business deteriorated	Impairment note, trigger language	Trigger was “a sustained decline in its stock price and the resulting decrease in its market capitalization” — the <i>stock</i> caused the write-down, not the other way round	Refuted as evidence of operating deterioration. The trigger proves nothing; the assumptions are the informative part
Live independent price quote	IBKR tools	Permission denied. Both benches used the same static snapshot.	No — unverified
November 4 earnings date	Data vendor; searched for a company	No Bumble press release names it	No — unconfirmed

Claim	How checked	Found	Confirmed?
	announcement		

PROPOSED ENTRY BANDS

No entry. No order. No size. The verdict is flat, and it is flat for a named reason (debt service consumes 84–92% of free cash flow on a declining revenue base), not for lack of conviction. Our own valuation range of **\$2.27–\$3.21** contains the current \$2.77 price — the stock is fairly priced on our own math, so there is nothing to arbitrage.

Because there is no entry, what follows are **reopen conditions** — each one restarts the analysis, and none of them is a standing buy order.

Price-based reopen

- **At or below \$2.27** — the bottom of our own valuation range. Below this, a gap exists on our numbers for the first time. *This reopens a review, not a purchase*, because we have specifically predicted a downward catalyst (second write-down) and must not ladder above our own forecast. If the stock reaches \$2.27 *because* the Q3 report was bad, the range itself needs rebuilding before any bid.
- **At or above \$3.21** — the top of our range. Above this the name is expensive on our own work and comes off the candidate list entirely. It is **not** a short at any price: a \$2.77 broken consumer brand 62% off its high fails our exclusion test for short candidates.
- Reference levels: 52-week low **\$2.54**, 52-week high **\$7.32**, current **\$2.77**.

Fundamental reopen — any one of these restarts the case

- **Q3 revenue at or above \$214.5M** (the street's number, not the sandbagged \$205–213M guide) **and** Bumble App paying users flat or up quarter-on-quarter. Beating the guide is meaningless; beating consensus is the only print that breaks both the seasonality finding and the guide-miss finding at once.
- **The term loan repriced at SOFR + 450 or better, or trading above par** in the secondary loan market. This is the single event that would legitimize a lower discount rate and re-open the whole valuation. It requires a data rail we don't currently have.
- **The FY2026 annual report showing share count flat**, excluding the Up-C exchange artifact, **and stock compensation guided below \$30M/year** for 2027.
- **The impairment note's year-by-year forecast**, read verbatim. Neither bench pulled the forecast shape. If the 30% rate was applied to an explicitly declining multi-year projection, our understanding of management's implied fair value changes materially.

Sizing

Zero today. And note: **we cannot responsibly size a starter in this name right now even if we wanted one**, because average daily volume is unverified (data tools permission-denied) and our

participation limit is defined as a percentage of it. Restoring that data rail is a precondition for any order ticket, separate from the investment case.

Catalyst dates

Date	What	Confirmed?
~2026-10-14	Company press release naming the Q3 report date. Practice is ~3 weeks' notice — the Q2 date of Aug 5 was announced Jul 15. This is the event that converts the date below from a guess to a fact.	Inferred from past practice — not confirmed
2026-11-04	Q3 2026 results and 10-Q. Carries three things at once: whether revenue beat \$214.5M, whether paying users stabilized, and whether a second write-down lands.	Not confirmed — data-vendor derived, no company announcement found
~2027-02	FY2026 annual report — share count, stock-comp guidance, full impairment disclosure	Not confirmed
2027-04-24	End of the loan's first year — \$59.4M of principal repaid; the required amount steps up to \$71.3M/year	Confirmed from the loan terms
2028-06-30	Leverage covenant tightens to 2.00x	Confirmed from the loan terms
2030-04-24	Term loan matures	Confirmed from the loan terms

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.54 (deck-provisional: 52-week low; a break confirms the decline is company-specific and still in force)
- filing watch: 10-Q until 2027-02-22 (deck-provisional: Q3 report: revenue vs the \$214.5M consensus, Bumble App paying users QoQ, and whether a second goodwill)
- dated pack BMBL|2026-10-14: BMBL: Expected press release naming the Q3 earnings date (~3 weeks' notice per past practice; Q2's Aug 5 date was announced Jul 15) (date co
- dated pack BMBL|2026-11-04: BMBL: Q3 2026 results and 10-Q — consensus beat test, paying-user test, and probable second impairment (date confirmed=False)
- dated pack BMBL|2027-02-25: BMBL: FY2026 annual report — share count ex-Up-C, 2027 stock-comp guide, full impairment forecast disclosure (date confirmed=False)
- dated pack BMBL|2027-04-24: BMBL: End of term loan year one; \$59.4M principal repaid and required amortization steps up to \$71.3M/yr (date confirmed=True)
- dated pack BMBL|2028-06-30: BMBL: Leverage covenant tightens to 2.00x (not binding on current projections) (date confirmed=True)
- dated pack BMBL|2030-04-24: BMBL: \$475M term loan matures (date confirmed=True)

What remains unverified

1. **The November 4 earnings date.** Vendor-derived. No company announcement supports it. Every timing statement in this deck inherits that uncertainty.
 2. **Average daily volume and any independent live price.** Broker tools were denied to both benches. Both worked from the same static snapshot, so a shared error would be invisible.
 3. **The share count trend.** Neither bench pulled the actual quarter-over-quarter share count with the Up-C restructuring effect stripped out. We know stock-comp expense doubled; we do **not** know how much real dilution occurred. The bear bench's 11%/year figure was bad arithmetic, and the correct figure is simply unknown.
 4. **The impairment model's year-by-year shape.** We know the discount rate (30%) and terminal growth (zero) and the 75/25 income/market blend. We do not know the revenue and margin path inside it — which is what determines whether management's fair value is durable or itself about to fall.
 5. **Whether a second write-down actually lands at Q3.** Predicted from the 0.59x price-to-book gap. Not confirmed.
 6. **User and engagement trends between reports.** Our only instrument returned lifetime star ratings, which cannot distinguish category decline from share loss.
 7. **How Apple and Google app-store fees affect this business.** Effectively all revenue is in-app subscription revenue routed through two gatekeepers. Our concentration detector is built for federal contracting and returned nothing usable. A genuine single-counterparty risk went unmeasured — a library gap, not a company finding.
 8. **Whether the tape has already discounted the second write-down.** At 0.59x book the market may be pricing it; if so, the “dated headline risk” is less of a risk and less of an edge than we've claimed.
 9. **The circularity in our fair-value floor.** Management's valuation is 25% weighted to market comparables, which are calibrated to the same tape we're checking it against. We cannot cleanly say how much of the \$4.67/share floor is independent.
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